

We believe in great talent.

Capital One Strategy Analyst Case Interview Prep

We'll be starting at 3:05

Welcome!

Reminders before we begin

- Participants will be muted during the session.
- Participants may submit any questions in the Zoom chat and we'll answer these during the Q&A section at the end.
- Your feedback is valued and will be requested following this session through an optional survey. The survey will be sent alongside this presentation.
- Please direct any questions around compensation, benefits, etc. to your recruiter.



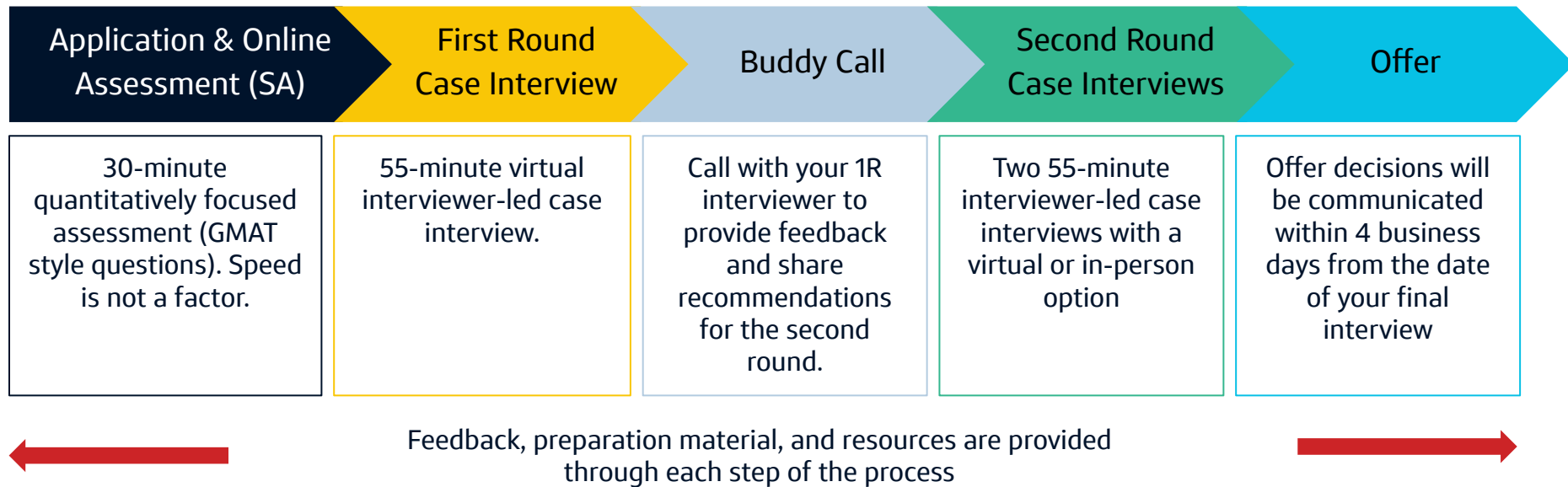
Agenda

1. **Strategy Analyst Interview Process**
2. **Capital One Case Interview**
3. **Mock Case Interview**
4. **Q&A**



Strategy Analyst Interview Process

Strategy Analyst Interview Process



Capital One Case Interview



What is a case interview? What is an interviewer-led case interview?

Cases are real **business scenarios** featuring **business problem simulations** and **open-ended questions** that measure your problem solving skills and your conceptual, analytical and creative abilities. They can be either **interviewer-led, which is the Capital One practice**; or interviewee-led.

Capital One practice

Interviewer-led case interview

- Candidate works on their **recommendation for a business problem**
- Interviewer **provides some inputs**, candidate **may still need to make assumptions** or ask for additional inputs
- Quantitative questions **may have a single mathematically-correct answer**

Interviewee-led case interview

- Candidate may work on **conceptual market-sizing exercises**, as well as a **business problem**
- Candidate **makes the assumptions** for calculations by themselves
- Quantitative questions **may not have a single mathematically-correct answer**, the answer changes based on the path interviewee lays out
- Similar to management consulting cases

What skills are being assessed?

Quantitative Analysis

Capital One associates understand that truly impactful analytics result from a highly structured and thorough approach to quantitative problem solving. This involves understanding the implications of numerical information, efficiently applying mathematical methods and concepts, identifying interrelationships among variables, and anticipating forces that may impact outcomes.

Attributes of a Basic Answer

- Arrives at solution with some directional prompting
- Sets up simple equations and performs basic numerical calculations
- Understands some of the basic interrelationships between variables

Attributes of a Good Answer

- Arrives at solution independently or with minimal prompting and sanity checks answers
- Makes reasonable assumptions where data is not present, or asks for additional pertinent information
- Shows awareness of interaction of multiple variables

Attributes of the Best Answer

- Arrives at solution independently
- Employs short cuts effectively to make use of and build on earlier analysis to solve the problem
- Identifies and factors in the impact of changing one variable on other variables

What skills are being assessed?

Conceptual Problem Solving

Capital One associates are proficient in analyzing and breaking down complex business challenges, identifying key drivers, and developing innovative solutions that integrate different perspectives. They demonstrate critical thinking, creativity, and the ability to connect abstract concepts to practical applications.

Attributes of a Basic Answer

- Provides a generic answer that is logically correct but is not specific to the business context
- Suggests reasonable and sensible solutions that demonstrates some understanding of broad concepts
- Draws some conclusions from the data

Attributes of a Good Answer

- Identifies core issues of the case, considering both qualitative and quantitative issues
- Synthesizes thinking into balanced, pragmatic recommendations
- Understands practical implications of theoretical ideas
- Demonstrates how ideas can have different impact across the business

Attributes of the Best Answer

- Assesses strengths and limitations of recommendations
- Proactively identifies business implications of numerical results and proactively suggests solutions to adverse effects
- Identifies further analysis required to completely validate the solution

What skills are being assessed?

Communication

Capital One associates are effective communicators who demonstrate a high level of engagement in discussions, apply their active listening skills, and convey ideas in a clear, concise, and compelling manner. Consistent with Capital One's culture, they interact with confidence, provide structured explanations of their ideas, respond positively to feedback, and encourage open dialogue with others.

Attributes of Basic Communication Skills

- Presents ideas in a tactful manner
- Shares some explanation of approach
- Actively engages with the interviewer

Attributes of Good Communication Skills

- Provides a structured presentation of ideas and solutions
- Communicates approach and logic clearly with consideration of others' level of knowledge
- Asks relevant questions
- Understands and actions prompts and redirections

Attributes of Best Communication Skills

- Gives compelling reasons for ideas and provides well structured solutions
- Lays out complex analytical issues in a logical and intuitive way and explains it in easy-to-understand ways
- Shows active listening skills (checking understanding, summarising)

Mock Case Interview

Food Truck Case

Prompt

A good friend of yours is a talented young chef interested in opening a food truck in a major city. While your friend makes killer food, she's less confident on the business side of things. She's asked for your help assessing the viability of her new venture.

Naturally, your friend's key concern is whether or not the food truck will be profitable.

What inputs would you need to see in order to assess the profitability of this venture?

What are some factors you should consider when approaching this question and making your recommendation?

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What inputs would you need to see in order to assess the profitability of this venture?

Basic Answer

- Revenue (price and quantity)
- Costs (fixed and variable)
- Financial statements

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What inputs would you need to see in order to assess the profitability of this venture?

Good Answer

- Revenue (price and quantity)
 - Details on factors affecting price e.g. competition/alternatives differentiation, type and quality of food served
 - Details on factors affecting quantity e.g. target market and its size, location, food trends
- Costs (fixed and variable)
 - Examples of fixed costs e.g. food truck, license, marketing, insurance
 - Examples of variable costs e.g. ingredients, packaging, labour
- Financial statements

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Naturally, your friend's key concern is whether or not the food truck will be profitable.

What inputs would you need to see in order to assess the profitability of this venture?

Best Answer

- Revenue (price and quantity)
 - Details on factors affecting price
 - Details on factors affecting quantity
- Costs (fixed and variable)
 - Examples of fixed costs
 - Examples of variable costs
- Financial Statements
- Your insight on what's important, e.g. food costs are a main variable cost for restaurants and can be volatile; if the business cannot withstand an XX% shock to food costs, the business may not be viable

Food Truck Case

Basic Quantitative Problem Solving

You did some initial research and were able to track down some information on costs associated with food trucks.

- A ready-to-use food truck: \$80,000
- Operating license: \$2,500 for the first six months + \$1,000 for the remainder of the year
- Gas, insurance, and some marketing: \$15,000 annually
- Variable costs: 70% of your revenue
- Price: \$8 per item

If your friend will only pursue this venture if she can break even within a year, **how many items would your friend need to sell?**

How would you approach this question?

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If your friend will only pursue this venture if she can break even within a year, **how many items would your friend need to sell?**

Basic Answer

- Provide only the correct answer of 41,042 Units (~112 / day if the truck is open 365 days a year)

Food Truck Case

Basic Quantitative Problem Solving

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If your friend will only pursue this venture if she can break even within a year, **how many items would your friend need to sell?**

Good Answer

- Outline the variables to create the equation
 - Total Fixed Cost: $\$80k + \$2.5k + \$1k + \$15k = \$98.5k$
 - Revenue less Variable Cost: $30\% * (X * \$8) = \$2.40 * X$, where X = units sold
 - Break-even X : $\$2.40 * X = \$98.5k$
 - $X = 41,042$
- Provide the correct answer of 41,042 Units (~112 / day if the truck is open 365 days a year)

Food Truck Case

Basic Quantitative Problem Solving

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 - Revenue less Variable Cost: $30\% * (X * \$8) = \$2.40 * X$, where X = units sold
 - Break-even X : $\$2.40 * X = \$98.5k$
- Provide the correct answer of 41,042 Units (~112 / day if the truck is open 365 days a year)
- Articulate the “so what”.

Food Truck Case

Basic Conceptual Problem Solving

How would you assess whether or not ~41k annual units sold is a reasonable expectation?

What are some factors you should consider when approaching this question and making your recommendation?

Food Truck Case

Basic Conceptual Problem Solving

How would you assess whether or not ~41k annual units sold is a reasonable expectation?

Basic Answer

- Provide vague or generic answers without providing additional insights or depth
- Provide factually accurate but contextually irrelevant information

Food Truck Case

Basic Conceptual Problem Solving

How would you assess whether or not ~41k annual units sold is a reasonable expectation?

Good Answer

- Conduct primary research e.g. surveys, observing at various locations, running a pilot at a low cost
- Conduct secondary research:
 - Competitor data: avg. units sold at food trucks in same / comparable cities, size of the food truck market and market share assumption
 - Consumer data: % of population eating at food truck regularly, food preferences
- Location data
 - Foot traffic and alternative options

Food Truck Case

Basic Conceptual Problem Solving

How would you assess whether or not ~41k annual units sold is a reasonable expectation?

Best Answer

- Conduct primary research e.g. surveys, observing at various location, running a pilot at a low cost
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 - Competitor data: avg. units sold at food trucks in same / comparable cities, size of the food truck market and market share assumption
 - Consumer data: % of population eating at food truck regularly, food preferences
- Location data
 - foot traffic and alternative options

Envision yourself as the owner of this food truck and propose strategies you would personally use and articulate why, be creative and innovative in your recommendations, and outline any strengths or limitations.

Food Truck Case

Advanced Quantitative Problem Solving

Your friend has two food concepts for the truck and has gathered information on food costs. She'd like you to help her understand which is more desirable for her to pursue.

Option 1: Spicy Tacos	Price	Product Mix
Chicken Jalapeno	\$10	40%
Chili Beef	\$8	20%
Cheese and Veggie	\$7	40%
Option 2: Hot Dogs	Price	Product Mix
Deluxe	\$12	25%
Gourmet Beef	\$5	65%
Gourmet Turkey	\$7	10%

Given the inputs, which option is preferable?

How would you approach this question?

Food Truck Case

Advanced Quantitative Problem Solving

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Deluxe	\$12	25%
Gourmet Beef	\$5	65%
Gourmet Turkey	\$7	10%

Given the inputs, which option is preferable?

Basic Answer

- Only provide the answer that Tacos is the preferable option.

Food Truck Case

Advanced Quantitative Problem Solving

Your friend has two food concepts for the truck and has gathered information on food costs. She'd like you to help her understand which is more desirable for her to pursue.

Option 1: Spicy Tacos	Price	Product Mix
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Deluxe	\$12	25%
Gourmet Beef	\$5	65%
Gourmet Turkey	\$7	10%

Given the inputs, which option is more preferable?

Good Answer

- Outline the variables to create the equation

Option 1: Spicy Tacos:

$$\$10 * 40\% + \$8 * 20\% + \$7 * 40\% = \$8.40$$

Option 2: Hot Dogs

$$\$12 * 25\% + \$5 * 65\% + \$7 * 10\% = \$6.95$$

- Provide the answer that Tacos can be preferable if we sell a similar amount, but that's an *implicit* assumption on the demand! Margins between two products may differ as well.

Food Truck Case

Advanced Quantitative Problem Solving

Your friend has two food concepts for the truck and has gathered information on food costs. She'd like you to help her understand which is more desirable for her to pursue.

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Deluxe	\$12	25%
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Gourmet Turkey	\$7	10%

Given the inputs, which option is more preferable?

Best Answer

- Outline the variables to create the equation

Option 1: Spicy Tacos:

$$\$10 * 40\% + \$8 * 20\% + \$7 * 40\% = \$8.40$$

Option 2: Hot Dogs

$$\$12 * 25\% + \$5 * 65\% + \$7 * 10\% = \$6.95$$

- Provide the answer that Tacos can be preferable if we sell a similar amount, validating the assumption, and outlining strategies to figure out the demand.

Food Truck Case

Advanced Quantitative Problem Solving

You have a hunch that we could sell more hot dogs than tacos given peoples' potential aversion to spicy food. Let's assume that variable costs are 70% of the selling price for both options.

Option 1: Spicy Tacos

$$\$10 * 40\% + \$8 * 20\% + \$7 * 40\% = \$8.40$$

Option 2: Hot Dogs

$$\$12 * 25\% + \$5 * 65\% + \$7 * 10\% = \$6.95$$

How many more hot dogs would we need to sell vs. tacos in order for it to be a preferable option?

How would you approach this question?

Food Truck Case

Advanced Quantitative Problem Solving

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Option 2: Hot Dogs

$$\$12 * 25\% + \$5 * 65\% + \$7 * 10\% = \$6.95$$

How many more hot dogs would we need to sell vs. tacos in order for it to be a preferable option?

Basic Answer

- Provide only the correct answer of 21% more hot dogs

Food Truck Case

Advanced Quantitative Problem Solving

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Option 2: Hot Dogs

$$\$12 * 25\% + \$5 * 65\% + \$7 * 10\% = \$6.95$$

How many more hot dogs would we need to sell vs. tacos in order for it to be a preferable option?

Good Answer

- Articulate that since the margins are the same, we can simply get the % differences in weighted average prices.
- Outline the equation
$$\$8.40 / \$6.95 = 1.21$$
- Provide the correct answer of 21% more hot dogs

Food Truck Case

Advanced Quantitative Problem Solving

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How many more hot dogs would we need to sell vs. tacos in order for it to be a preferable option?

Best Answer

- Articulate that since the margins are the same, we can simply get the % differences in weighted average prices.
- Outline the equation
$$\$8.40 / \$6.95 = 1.21$$
- Provide the correct answer of 21% more hot dogs
- Highlight that this analysis is dependent on “the same variable cost percentage” assumption across hot dogs and spicy tacos. Propose that this assumption would require further validation and mention how you would go about doing it conceptually (e.g. industry research, piloting, ...)

Food Truck Case

Advanced Conceptual Problem Solving

Your friend really appreciates your advice, and she's decided to proceed with opening a spicy taco food truck! She's promised you some free tacos to thank you for your hard work too.

As she embarks on this journey, she asks you to outline for her the top risks she may face and some ideas as to how to mitigate them.

What are some factors you should consider when approaching this question and making your recommendation?

Food Truck Case

Advanced Conceptual Problem Solving

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As she embarks on this journey, she asks you to outline for her the top risks she may face and some ideas as to how to mitigate them.

Basic Answer

- Give a full list of all the risks that you can think of
- Use vague, general risk terminology without articulating what the risk is in this context (e.g. competitor risk, financial risk, regulatory risk, ...)

Food Truck Case

Advanced Conceptual Problem Solving

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Good Answer

- Gather your thoughts, list the most relevant risks
- Articulate risks & mitigation in the context of a Food Truck:
 - Competitor risk: This business model is easy to replicate & prone to competition:
 - Mitigation: Differentiate yourself through building an brand identity
 - Financial risk: Any inaccurate cost and price assumptions may break the financial plan
 - Mitigation: Further analysis, pilot/soft launch
 - Regulatory risk: Food is a regulated industry. Changes in regulation may disrupt the business model
 - Mitigation: Set up a process to keep yourself up to date (e.g. research, networking, ...)

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As she embarks on this journey, she asks you to outline for her the top risks she may face and some ideas as to how to mitigate them.

Best Answer

- Gather your thoughts, list the most relevant risks
- Articulate risks & mitigation in the context of a Food Truck
- Highlight the conflict in mitigation measures you're proposing with the original business model or with other mitigation measures. State the trade-off you'd personally make with your own judgment. For example:
 - Building brand identity requires marketing investment. With such an investment, my friend may not be able to break even in the 1st year. I would still advise her to invest in marketing by securing cheaper long term financing. This means she should shift her profitability expectations to a longer term than a year, if she can afford

Key Takeaways

- You don't need to provide the best answer to every question to be successful in the case.
- For qualitative questions, take time to structure your thoughts in order to present your answers in an organized manner.
- For quantitative questions, go beyond the final quantitative answer and get to the "so what", which will give a more complete answer and demonstrate higher level thinking.
- Try to showcase well-roundedness. Try not to overly index on qualitative or quantitative aspects of the case.
- Be clear on: 1) the information you need to solve the problem; 2) what you already know; 3) what you don't know.
- Always check your implicit assumptions and sense-check your answers.
- Find analytical shortcuts and where you can, reuse calculations from previous steps as this saves time, shows a greater understanding and reduces errors.
- We're not testing on your ability to do mental math. Use your calculator.

Q&A

Thank you!

